

25VECV06211 25VECV06211

County: los-angeles

Division: Civil Law and Motion

Department: B

Hearing date: 2026-06-30

Source URL: https://www.lacourt.ca.gov/tentativeRulingNet/ui/main.aspx?casetype=civil&dept_date=NW%20%2CB%2C06%2F30%2F2026

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Tentative Ruling

Rechtman v. Sutton National

Insurance Company, Case no. 25VECV06211

Hearing date June 30, 2026

Defendant

Bamboo's Demurrer to the First Amended Complaint

Plaintiffs

Orie and Olga Rechtman sue defendants Sutton National Insurance and Bamboo IDE8

Insurance Services, LLC, alleging breaches of a homeowner's insurance policy.

Plaintiffs allege their home sustained water damage and Sutton, their homeowners' insurance carrier, denied or failed to pay benefits owed.

Plaintiffs bring derivative claims against Bamboo for violation of Bus. & Prof.

Code §17200 et seq., financial elder abuse and aiding and abetting Sutton's

alleged breach of the implied covenant of good faith and fair dealing. Bamboo

demurs; plaintiffs oppose.

Bamboo

requests judicial notice of the first amended complaint. GRANTED. Evid. Code §452(d).

"The

function of a demurrer is to test the sufficiency of the complaint as a matter

of law." Holiday Matinee, Inc. v. Rambus, Inc. (2004) 118 Cal.App.4th

1413, 1420. A complaint "is sufficient if it alleges ultimate rather than

evidentiary facts,” *Doe v. City of Los Angeles* (2007) 42 Cal.4th 531, 550, but plaintiff must allege essential facts “with reasonable precision and with particularity sufficient to acquaint [the] defendant with the nature, source and extent” of the plaintiff’s claim. *Doheny Park Terrace Homeowners Ass’n., Inc. v. Truck Ins. Exchange* (2005) 132 Cal.App.4th 1076, 1099.

Bamboo

demurs to the cause of action for violations of Bus. & Prof. Code §17200, et seq. (“UCL”), which prohibits “unlawful, unfair or fraudulent” business acts or practices. A UCL claim may borrow violations of other laws, but California law has long prohibited private plaintiffs from enforcing the Unfair Insurance Practices Act (“UIPA”), including Ins. Code §790.03(h), via a private damages action. *Moradi-Shalal v. Fireman's Fund Ins. Companies* (1988) 46 Cal.3d 287, 304-305. A first-party insured may pursue a UCL claim when the insurer’s conduct violates duties independent of the UIPA but cannot maintain a claim solely on the basis of Ins. Code §790.03. *Zhang v. Superior Court* (2013) 57 Cal.4th 364, 381-384.

Plaintiffs

allege defendants, including Bamboo, failed to comply with claim regulations, and the conduct will continue unless enjoined. FAC, para. 50. Plaintiffs allege these acts and omissions violate Ins. Code §790.03(h), Title 10 regulations and other unspecified statutes. *Id.* at para. 51. Plaintiffs allege Sutton issued the policy, and the contract and bad-faith causes of action are alleged against Sutton only. *Id.* at paras. 13, 23-46. Plaintiffs offer no additional allegations supporting the claim against claims investigator Bamboo. *Id.* at paras. 6, 18.

Plaintiffs

argue they alleged violations of the UCL beyond the UIPA. Plaintiffs argue they alleged Sutton and Bamboo are acting in concert to financially profit on underpaid or wrongfully denied claims at the expense of consumers. See FAC, para. 18. The actions, allegedly made by defendants in concert, are alleged to arise from violations of Ins. Code §790.03(h). *Id.* at para. 51. However, plaintiffs offer no specific allegations against Bamboo, such as false advertising, fraudulent invoicing or any direct transaction between plaintiffs and Bamboo.

California

courts consistently hold that non-insurer agents, adjusters, and claims

administrators are not parties to the insurance contract and are not subject to the insurer's implied covenant duties. *Gruenberg v. Aetna Ins. Co.* (1973) 9 Cal.3d 566, 576; *Egan v. Mutual of Omaha Ins. Co.* (1979) 24 Cal.3d 809, 824. Plaintiffs offer no basis outside of Bamboo's alleged violations of Ins. Code §790.03(h) to support the cause of action. SUSTAINED with 15 days leave to amend.

Bamboo

demurs to the cause of action for financial elder abuse, which occurs when an entity takes, secretes, appropriates, obtains, or retains real or personal property of an elder for wrongful use, with intent to defraud, or by undue influence, or assists in doing so. Welf. & Inst. Code §15610.30(a).

Plaintiffs

allege defendants failed and refused to pay benefits owed under the policy, representing a taking or retention of plaintiffs' monies. FAC, paras. 57-59. Plaintiffs allege Sutton retained Bamboo to perform claim investigation, adjustment and coverage analysis on Sutton's behalf. FAC, para. 18. Plaintiffs do not allege Bamboo possessed plaintiff's funds, controlled funds, received funds or had a contractual obligation to pay funds.

Plaintiffs

argue they alleged "Bamboo's compensation and continued engagement depend on the financial performance of claims it services. As a result, Bamboo has a financial incentive to recommend that claims be denied or minimized, including the Claim at issue here." FAC, para. 18. Plaintiffs argue Bamboo knew its conduct would harm plaintiffs but engaged in the conduct regardless, constituting abuse. Plaintiffs argue Bamboo improperly financially benefited by refusing to recommend that Sutton pay insurance proceeds to plaintiffs, thereby assisting Sutton in retaining benefits. See FAC, para. 58.

Plaintiffs

offer no legal support for their argument that Bamboo's claim investigation work for Sutton constitutes assisting in financial elder abuse. An insurer's bad faith denial of a claim may, in some circumstances, support financial elder abuse against the insurer, but California courts have held that imposing elder abuse liability on a representative who assists the insurer in investigating the claim improperly circumvents *Gruenberg*, supra, which ruled that noninsurer agents cannot be liable for the insurer's bad faith. See *Strawn v. Morris, Polich & Purdy, LLP* (2019) 30 Cal.App.5th 1087 at

1101-1103. Allegations of elder abuse arising from Bamboo's role as a claims investigator are insufficient. There are no allegations that Bamboo directly took plaintiffs' funds or property or engaged in any separate taking. SUSTAINED with 15 days leave to amend.

Bamboo

demurs to the cause of action for aiding and abetting Sutton's alleged breach of the implied covenant of good faith and fair dealing, which arises between contracting parties. See *Comunale v. Traders & General Ins. Co.* (1958) 50 Cal.2d 654, 658. Agents acting solely on behalf of an insurer cannot be liable for conspiring to breach duties they did not personally owe. *Doctors' Company v. Superior Court* (1989) 49 Cal.3d 39 at 44-47.

Plaintiffs

argue they are not alleging Bamboo itself breached the covenant of good faith and fair dealing, but that it committed the independent tort of aiding and abetting Sutton's alleged breach. Plaintiffs allege Bamboo knew of Sutton's bad faith, assisted by manufacturing a coverage dispute, which was a substantial factor in causing harm by recommending/directing Sutton to deny the claim. FAC, para. 69. Plaintiffs argue *Doctor's Company*, supra held where "nonfiduciary defendants had acted not simply as agents or employees of the fiduciary defendants but rather in furtherance of their own financial gain, they could not have been relieved from liability under the Gruenberg-Wise rule." *Id.* at 47.

Even

where permitted under *Doctor's Company*, supra, a claim for aiding and abetting must be supported by allegations showing knowledge of the abetted wrongdoing. See *Saunders v. Superior Court* (1994) 27 Cal.App.4th 832, 846; *Fiol v. Doellstedt* (1996) 50 Cal.App.4th 1318, 1325-1326. Generalized allegations are insufficient; plaintiffs must allege facts showing actual knowledge and participation in a specific, primary wrongful act. *Casey v. U.S. Bank National Assn.* (2005) 127 Cal.App.4th 1138, 1148-1152. Suspicion, participation in ordinary business activity, or generalized knowledge that something may be wrong is insufficient. *Id.* at 1149-1152.

Plaintiffs

allege Bamboo "had actual knowledge" that Sutton's denial lacked a reasonable basis, and the damage to plaintiffs' property resulted from a mechanical failure in the dishwasher. FAC, para. 69. Conclusory allegations are

insufficient, as are allegations that Bamboo itself committed a wrongful act. Plaintiffs must allege that Bamboo knew of a specific wrong by Sutton, i.e., an intention to wrongfully deny coverage and actively assisted in that wrongdoing. Merely alleging Bamboo had a financial interest in assisting Sutton in keeping claims payouts low is too generalized to satisfy the pleading requirements of Casey, supra. SUSTAINED with 15 days leave to amend.